EXECUTIVE SUMMARY

1. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 80,584 inhabitants as of December 31, 2014. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance and value for money audit were conducted on the accounts and operations of the LGU-Solana, Cagayan for the calendar year 2014. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

2. Financial Highlights:

The financial condition, results of operations, and appropriations, allotments and obligations of LGU-Solana, Cagayan for CY 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase/ Decrease
Financial Condition			
Assets	P 208,450,980.92	P 193,338,137.14	P 15,112,843.78
Liabilities	109,272,976.57	95,250,281.65	14,022,694.92
Government Equity	99,178,004.35	98,087,855.49	1,090,148.86
Results of Operations			
Income	P 141,203,192.33	P 125,237,123.23	P 15,966,069.10
Expense	110,192,766.41	103,228,061.78	6,964,704.63
Appropriations, Allotments and Obligations			
Appropriation:			
Current	P 146,942,905.43	P 123,993,317.89	P 22,949,587.54
Continuing	8,127,203.89	9,033,155.39	(905,951.50)
Obligation:			
Current	134,627,917.64	118,865,748.70	15,762,168.94
Continuing	5,740,875.29	4,910,308.35	830,566.94

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2014 with comparative figures for CY 2013 are shown below:

	2014	2013	Increase/ Decrease
Funds Received from Other Agencies:			
NGAs	P14,641,572.42	P 4,781,756.68	P9,859,815.74
LGUs	1,000,000.00	13,500,000.00	(12,500,000.00)
NGOs/POs	0.00	1,500,000.00	(1,500,000.00)
Others	0.00	0.00	0.00
Total	**P15,641,572.42**	**P19,781,756.68**	**(P4,140,184.26)**

	2014	2013	Increase/ Decrease
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	P3,390,000.00	P190,000.00	P3,200,000.00
NGOs/POs	668,905.20	490,324.50	178,580.70
Others	0.00	0.00	0.00
Total	**P4,058,905.20**	**P680,324.50**	**P3,378,580.70**

3. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU-Solana, Cagayan as of December 31, 2014 due to the following:

(a) inability of management to conduct physical inventory of its properties, excluding Construction in Progress accounts, with a net book value of P100,866,169.14 rendering the Property, Plant and Equipment (PPE) account doubtful;

(b) absence of an updated Certified List of Taxpayers rendering the Real Property Tax and Special Education Tax Receivables unreliable;

(c) non-settlement of cash advances totaling P1,202,638.15 as of year-end which affected the reliability of the assets, expenses and government equity accounts;

(d) failure to reclassify the current portion of the long term loans totaling P4,862,583.68 to the Other Payables account casting doubt as to the reliability of the balance of the Loans Payable-Domestic and Other payables account;

(e) recording of collections from soft loan borrowers as trust liability instead of treating it as part of government equity rendering the balance of said accounts doubtful;

(f) non-recording in the books of the LGU of the receivables of P1,669,058.58 as of December 31, 2014 from the individuals who availed of the LGU's Housing Program in Nangalisan Bliss making the balance of the account doubtful; and

(g) reciprocal accounts-Due to Other Funds and Due from Other Funds was unreconciled by P110,316.96 rendering the validity and reliability of the balances of the accounts doubtful.

4. Summary of Significant Observations and Recommendations:

a. The public market and other insurable properties of the municipality, except motor vehicles, are not protected against losses arising from fire and other incidents because these properties are not insured with the General Insurance Fund and the Property Replacement Fund of the GSIS.

We reiterated our recommendation that management insure with GSIS all the insurable properties of the LGU pursuant to COA Circular No. 92-390.

b. There was irregularity in the disbursement of municipal funds totaling P400,205.73 due to the payment of overtime services of municipal officials with positions higher than a chief of division.

We recommended that management ensure strict adherence to the provisions of Budget Circular No. 10 as regards the payment of overtime services. Moreover, the concerned municipal officials should refund the overtime pay erroneously granted them. A Notice of Disallowance shall be issued for the purpose.

c. **There was irregularity in the disbursement of funds amounting to P90,000.00 because financial assistance granted to the different schools for the cheer and dance competition in connection with the Aggao Na Solana Festival was charged against the Special Education Fund.**

We recommended that management, together with the members of the Local School Board, limit the utilization of the SEF to the programs and projects defined under Section 272 of RA 7160 and DECS, DBM and DILG Joint Circular No. 01.

d. The LGU has not yet acquired absolute title over the lot it purchased with a total area of 355.5 square meters valued at P600,000.00 because of the failure of management to process the transfer of the title of the lot in the name of the municipality. Moreover, the supporting documents were not complete thus affecting the validity of the transaction.

We recommended that management cause the immediate transfer of ownership of the property in favor of the municipal government in order to claim full ownership over the lot. Moreover, the lacking supporting documents should be submitted to avoid suspension or disallowance in audit.

e. The Bureau of Internal Revenue was deprived of the taxes due from the medico/medical legal services paid to the Municipal Health Officer totaling

P229,587.50 due to the failure of the Accounting Department to withhold the same.

We recommended that management shall henceforth require the Accounting Office to ensure that withholding taxes are deducted from payments of additional compensation pursuant to BIR Revenue Regulation No. 2-98 and remit the same to the BIR within the prescribed period.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	*Beginning Balance*	*Issued During the Year*	*Settlement During the Year*	*Ending Balance*	*% of Settlement*
Suspensions:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Disallowances:					
Prior Years	P505,836.02		P 11,000.00	P494,836.02	2.17%
Current Year		0.00	0.00	0.00	0.00
Total	**P505,836.02**	**0.00**	**P11,000.00**	**P494,836.02**	**2.17%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**00.0**	**00.0**	**00.0**	**00.0**	**00.0**

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the eighteen prior years' audit recommendations embodied in the 2013 Annual Audit Report, four were fully implemented, five were partially implemented and nine were not implemented.